

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

20230930-DK-BUTTERFLY-1, INC. F/K/A BED BATH & BEYOND INC. v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

**COMPLAINANT’S OPPOSITION TO RESPONDENTS’ MOTION TO EXCLUDE THE
TESTIMONY OF JOHN D. MCCOWN**

Complainant 20230930-DK-Butterfly-1, Inc., f/k/a Bed Bath & Beyond Inc. (“BBBY” or “Complainant”), by and through counsel, respectfully submits this opposition to Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited’s (together, “OOCL”) Motion to Exclude the Testimony of John D. McCown, dated December 20, 2024 (the “Motion”).

PROCEDURAL BACKGROUND

On September 17, 2024, BBBY submitted the Expert Report of John D. McCown to OOCL, which provides “opinions related to processes and business practices in the container shipping sector, the reasonableness of OOCL’s conduct, and BBBY’s damages.” (Mot., Ex. B ¶ 2 (the “McCown Report”).) On October 21, 2024, OOCL deposed McCown. On December 19, 2024, six days after BBBY filed its Opening Brief and fifty-nine days after McCown’s deposition, OOCL notified BBBY of its intent to file the Motion.

LEGAL STANDARD

The Presiding Officer serves as the “gatekeeper” of expert testimony by “ensuring that an expert’s testimony both rests on a reliable foundation and is relevant to the task at hand.” *Daubert v. Merrell Dow Pharms., Inc.*, 509 U.S. 579, 579-80 (1993); *Kumho Tire Co., Ltd. v. Carmichael*, 526 U.S. 137, 141, 145 (1999). Rule 702 embodies a “***liberal policy of admissibility***.” *Pineda v. Ford Motor Co.*, 520 F.3d 237, 243 (3d Cir. 2008) (emphasis added).

As gatekeeper, a trial judge has three duties: (1) confirm the witness is a qualified expert; (2) check the proposed testimony is reliable and relates to matters requiring scientific, technical, or specialized knowledge; and (3) ensure the expert’s testimony is “sufficiently tied to the facts of the case,” so that it “fits” the dispute and will assist the trier of fact.

UGI Sunbury LLC v. A Permanent Easement for 1.7575 Acres, 949 F.3d 825, 832 (3d Cir. 2020) (quoting *Daubert*, 509 U.S. at 591). If an expert’s testimony falls within “the range where experts

might reasonably differ,” the duty of evaluating that testimony lies with trier of fact. *Kumho Tire Co., Ltd.*, 526 U.S. at 153.¹

An expert is qualified if they “possess specialized expertise”, *Schneider ex rel. Estate of Schneider v. Fried*, 320 F.3d 396, 404 (3d Cir. 2003), a “liberal” requirement such that “a broad range of knowledge, skills, and training qualify an expert as such.” *In re Paoli R.R. Yard PCB Litig.*, 35 F.3d 717, 741 (3d Cir. 1994). The expert need only possess “skill or knowledge greater than the average layman”. *Elcock v. Kmart Corp.*, 233 F.3d 734, 741 (3rd Cir. 2000).

The trial judge must also ensure that the expert’s testimony is reliable, tested by whether it amounts to “more than subjective belief or unsupported speculation.” *Daubert*, 509 U.S. at 589-90. The reliability inquiry focuses on “principles and methodology”, *id.* at 595, including whether (1) the testimony is grounded on sufficient facts or data; (2) the testimony is based off of reliable principles and methods; and (3) the expert has applied the principles and methods reliably to the facts of the case. *Amorgianos v. Nat’l R.R. Passenger Corp.*, 303 F.3d 256, 265 (2d Cir. 2002) . The expert’s opinions need not be “supported by the best methodology or unassailable research” but merely have to be supported by “good grounds.” *UGI Sunbury LLC*, 949 F.3d at 834.

ARGUMENT

I. McCown Is Qualified, His Opinions Are Well-Founded and Based on Reliable Principles and Methodology, and He Reliably Applied Those Principles and Methodology.

Because trial in this case will be before the Presiding Officer and not a jury, traditional concerns regarding the potential undue influence of expert witnesses on jury decision-making are absent. *See, e.g., Ateliers*, 2011 WL 4351600, at *1; *In re Premium Motor Cars, Inc.*, 404 B.R. at

¹ *See also OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG & Hamburg Sud N. Am., Inc.*, FMC Dkt. 21-11, 2023 WL 3969857 at *41 (ALJ June 7, 2023); *Ateliers de la Haute-Garonne v. Broetje Automation-USA Inc.*, Civ. Act. No. 09-598-LPS, 2011 WL 4351600, at *1 (D. Del. Sept. 16, 2011); *In re Premium Motor Cars, Inc.*, 404 B.R. 128, 136 (Bankr. W.D. Pa. 2009).

136. The Presiding Officer is fully capable of properly analyzing qualifications and opinions and assigning the proper weight to them in this matter without any risk of undue influence or confusion.

A. McCown is an eminently qualified expert in the shipping container industry.

The thrust of OOCL's meritless Motion is that McCown purportedly lacks "specialized knowledge" and "operational experience" to qualify McCown as an expert. (Mot. at 3.) Not so. Extensive experience in a trade or business qualifies one as an expert on industry practices. *See Goldberg v. 401 N. Wabash Venture LLC*, 755 F.3d 456, 462 (7th Cir. 2014).

McCown's Report details his deep, forty-year experience in container shipping, including: (1) almost a decade of planning and finance roles with the parent company of one of the then-largest container shipping companies in the world, (2) co-founding and serving as CEO of a container carrier that owned seven vessels and hundreds of over-the-road tractors, (3) decades of operational and investment experience related to the container shipping industry, including all operational and commercial aspects, and evaluating publicly held container carriers, (4) publications in the ocean carriage industry including a book and analyses that have been cited by international publications, (5) his current role as a Non-Resident Senior Fellow at the Center for Maritime Strategy, the Navy League think-tank writing on commercial shipping, (6) his current work consulting, lecturing, and writing about maritime issues, and (7) his publication of a monthly report analyzing U.S. container volume and a quarterly report analyzing actual results of the container shipping industry.² (McCown Report ¶¶ 4-16; McCown Dep. Tr. 17:5-21:3). [McCown Report found at APP-3754-3936; McCown Deposition Transcript found at APP-1436-1542]³

² The publication Seatrade Maritime News also recently described McCown as a "highly regarded commentator" "informed by his decades of work experience as an executive in container trades". (<https://www.seatrade-maritime.com/ports-logistics/increasing-us-focus-on-intersection-of-merchant-shipping-and-national-security>).

³ Citations to information in the record are contained in BBY's Appendix ("App." or "APP-___")

This deep experience provides McCown with significant “specialized expertise” to opine on the container shipping industry norms, OOCL’s practices at issue here, and proper damages calculations, as *OOCL’s own proffered expert* in this action, Boris Steffen, conceded that McCown has more personal experience in the container shipping industry than the entire staff of Steffen’s firm. [APP-2528, -2533, -2536, -2539].

OOCL’s Motion merely nit-picks McCown’s “specific operational experience” by parsing testimony that McCown “was only ‘aware’ of the processes relating to booking space, detention and demurrage (‘DD’), and container and chassis operations” (Mot. at 3), while *ignoring* McCown’s full testimony that he was “imminently [sic] familiar with what was involved in vessel operations and all the costs of ships”, “was certainly aware of [the process of booking space on a container ship] and how it occurred”, and “was broadly aware of the demurrage and detention rates that U.S. Lines had . . . at the time.” (Mot. at 3, n. 5.)⁴

McCown is an expert in the field of container shipping based on his experience.

B. McCown’s opinions are based on reliable principles and methodology.

McCown’s opinions are reliable and relate to specialized knowledge as they (a) are grounded in sufficient facts, (b) use reliable principles and methods, and (c) are applied reliably.

i. McCown’s opinions are grounded in sufficient facts.

McCown employed an uncontroversial methodology *based in his education, experience, and extensive review of record in this case, as well as publicly available data, all of which was clearly articulated in his Report and testimony.*

⁴ OOCL also contends without merit that McCown offers “anecdotal, tangentially related opinions regarding the industry in general” based on “Trailer Bridge’s rates from twenty years ago” and “U.S. Lines’ rates forty years ago” (Mot. at 3-4, n.8.) ignoring McCown’s continued experience in the industry through the present day.

OOCL's contention otherwise, (Mot. at § I.b.), ignores McCown's detailed description of the materials he reviewed in providing his opinions. (McCown Report ¶¶ 20-23 (citing Appendix D).) Rather than (1) "[taking] an outcome-minded approach", (Mot. at 4), or (2) containing a "lack[] [of] foundation for opinions specifically relating to [OOCL]" (*Id.*), McCown reviewed: (1) deposition testimony of over 20 deponents in this proceeding, (McCown Dep. Tr. 118:13-14; McCown Report Appendix D), (2) cited to hundreds of documents in Appendix D to his Report (many from discovery in this proceeding) (McCown Report Appendix D), (3) cross-checked the numbers alleged in the Complaint against record evidence and publicly available data, (McCown Dep. Tr. 118:23-24, McCown Report ¶17), (4) cited figures that "came from [BBBY], from their professionals" (McCown Dep. Tr. 122:15-17), and (5) cited to dozens of other sources including OOCL's own interim and annual reports (McCown Report Appendix D). OOCL thus fails to support its contention that McCown "blindly relied on facts provided by his clients' counsel" or "fail[ed] to review other sources of information relevant to the opinion in issue". (Mot. at 4.)

OOCL also incorrectly claims that "[t]he only third-party data cited by McCown that is impartial or validated are the container price indices", (Mot. at 4), but this again misrepresents the record,⁵ and ignores McCown's review of OOCL's own annual reports.

OOCL next quibbles with McCown's consideration of BBBY-produced evidence by claiming that McCown did not "validate the data upon which he relied" as to (1) OOCL's failure to allocate or book cargo under its Service Contracts with Complainant or (2) damages. (Mot. at 4-6.) OOCL provides *zero* support, case law or otherwise, for such a requirement and ignores two key issues. **First**, "whether any of the NVO shipments correlated to OOCL's alleged denials of a [specific] BBBY booking request" (*Id.* at 6) is inapposite to McCown's opinions, as he testified

⁵ OOCL's footnote cites to McCown Report ¶¶ 33, 36, and 41 which pertain to service commitments, not price data.

that “OOCL did not perform, you know, on a very basic service contract metric. Bed Bath & Beyond had to go out and get the space. They had an incremental cost in all cases.” (McCown Dep. Tr. 140:11-15.) Second, as to damages, *McCown’s report directly cites to the sources of material for his analysis showing container level data such as ocean freight costs and port pairs*, and those sources are drawn from documents produced in this proceeding from BBY’s own records (which OOCL’s counsel had the opportunity to, and did, inquire about during depositions). OOCL thus improperly faults McCown for not performing tasks he was not required to perform, and distorts his conclusions while ignoring the underlying evidence he did consider.

OOCL also criticizes McCown for allegedly disregarding OOCL executive Karen Lam’s self-serving documentation regarding OOCL’s supposed ocean freight performance, but McCown *did* consider Ms. Lam’s testimony,⁶ addressing OOCL’s *systematic failure* to meet its service commitments to BBY based on the copious record evidence interpreted through McCown’s industry expertise. (E.g., McCown Report ¶¶ 44-52.)

OOCL next attacks McCown’s opinions regarding the reasonableness of detention and demurrage charges. **First**, OOCL suggests that the reasonableness of the rates assessed in 2020 and 2021 is best evaluated “by comparing OOCL’s rates to its competitors” (Mot. at 4-5), but offering an *alternative* methodology has no place in a *Daubert* motion.⁷ McCown explained in his deposition that his focus was not D&D rates themselves but the charges resulting from the application of those tariff rates. (McCown Tr. 111:11-21.) **Second**, OOCL criticizes McCown’s analysis comparing OOCL’s D&D rates and practices to those of McCown’s company, Trailer

⁶ McCown referenced Lam’s deposition 8 times in his report. (McCown Report ¶¶ 47, 48, 51, 76, 78.) Further, Lam conceded she had no personal involvement in preparing OOCL’s self-serving documents or underlying data, nor did she perform any calculations related to such data. (Lam Dep. Tr. 240:23-242:6) [Lam Dep. Tr. found at APP-1338-1435.]

⁷ OOCL’s own expert, Boris Steffen, observed that all ocean carriers shifted to a profit-maximization model at the expense of shippers during the relevant period. (APP-4064.)

Bridge, inaccurately asserting that McCown “relied on his experience at Trailer Bridge, but he claims not to have compared the two operations”. (Mot. at 7.) In reality, McCown *specifically testified* that Trailer Bridge played a role in forming his opinions as to OOCL’s D&D practices.⁸

In many instances, OOCL distorts the record and/or ignores McCown’s testimony:

OOCL’s Claim	Record Evidence
OOCL argues that McCown “opines that it is unreasonable for Respondents to require shippers to provide justification for waiving DD charges” and “testified that Trailer Bridge had just that requirement.” (Mot. at 7.)	To the contrary, McCown testified that, in contrast to OOCL’s onerous D&D waiver requirements, “[Trailer Bridge] wouldn’t get into questioning If it seemed reasonable, we accepted that on face value.” (McCown Dep. Tr. 55:3-6.)
OOCL claims McCown has no basis for his opinion that OOCL “[has] control over gate access at marine terminals”. (Mot. at 7.)	McCown testified that, while ownership structures may vary, carriers typically oversee operations and have some level of influence at terminals. (McCown Tr. 102:6-103:6.)
OOCL claims McCown has no basis for his opinion that OOCL “did not provide the space allocated under the service contracts”. (Mot. at 7.)	McCown relied on the shortfall quantities, which OOCL has conceded are correct. (OOCL’s Opposition Brief. at 20 (“In truth, these purported shortfall numbers are no more than the difference between BBBY’s original MQC in those two shipping years and the number of containers actually <i>carried</i> by OOCL.”).) OOCL’s critique is simply that McCown not accept the load by load method relied upon by OOCL to advance its theories. (McCown Tr. 125:18:-128:25.)
OOCL claims McCown has no basis for his opinion that OOCL “forced Complainant to sign contracts against its will”. (Mot. at 7 n.30.)	To the contrary, McCown testified that he reviewed deposition testimony and found indications of coercion, (McCown Tr. 148:6-17), and otherwise refused to speculate on BBBY employees’ state of mind when signing their signatures on the documents. (<i>Id.</i> 147:18-25.)
OOCL claims McCown has no basis for his opinion that OOCL “[was] obligated to provide chassis”. (Mot. at 7.)	In truth, McCown discussed his understanding of industry practices on chassis, testifying that, “[i]n the typical situation . . . a shipper isn’t sitting there, you know, kind of, gosh, I’ve got a container in the yard. Who has a chassis? . . . [T]he carrier has a -- has a role in that.” (McCown Tr. 154:17-155:23.) McCown’s report states that it is “incumbent on . . . any [carrier] to have

⁸ Compare Mot. at 7 n.26 (citing McCown Tr. 110:4-21) with McCown Tr. 109:23-110:21.

	assets in place to perform the service they have committed to with customers” including vessels, containers, and chassis.
OOCL claims that McCown “has no data or information regarding the alleged damages from PSS and premium contracts”. (Mot. at 6-7.)	McCown’s Report notes that the figures in Paragraph 177 were based on the Verified Complaint. McCown was not required to prove BBY’s damages (a merits issue), nor to speak with BBY’s employees as to PSS or premium contracts. ⁹ Notably, OOCL’s own damages expert, Boris Steffen, agreed with the calculation of PSS/premium damages put forth by Complainant and McCown. [Boris Steffen Dep. Tr. at APP-2593-2594.]

At bottom, OOCL’s criticisms of McCown’s report are not proper *Daubert* criticisms at all, but arguments intended to persuade the Presiding Officer to accept OOCL’s theories. It is of no moment that OOCL (or its paid experts) disagree with McCown’s opinions on some points.

When facts are in dispute, experts sometimes reach different conclusions based on competing versions of the facts. ***The emphasis [in Rule 702] on ‘sufficient facts or data’ is not intended to authorize a trial court to exclude an expert’s testimony on the ground that the court believes one version of the facts and not the other.***

Fed. R. Evid. 702 (Committee Notes on Rules—2000 Amendment) (emphasis added).

ii. McCown’s Opinions are the basis of reliable principles and methods.

McCown’s uncontroversial methodology assessing OOCL’s conduct based on the totality of the circumstances is properly based on his review of the material outlined in his Report. (McCown Report ¶¶ 21-23 (citing Appendix D).) McCown’s Report interprets this information through his extensive container shipping industry experience in conjunction with observations as to typical container shipping industry practices. (*Id.* ¶ 5.)¹⁰ OOCL’s baseless contentions fail to: (1) identify any specific unreliable principle or method; (2) propose or identify any alternative methodology (other than simply accepting OOCL’s positions); (3) meaningfully engage with McCown’s opinions; or (4) even mention OOCL’s own experts’ reports.

⁹ McCown otherwise discussed his reasoning. (McCown Dep. Tr. 148:6-17.)

¹⁰ See, e.g., McCown Report ¶ 41 (explaining ocean carriers’ awareness of honoring service commitments under contracts), ¶ 50 (describing the industry norms of reserving capacity for contract customers during congestion), ¶ 127-28 (describing OOCL’s practice of imposing premium contracts at extreme prices as unprecedented.).

iii. McCown correctly and reliably applied those principles and methodology.

McCown “applied the principles and methods reliably to the facts of the case.” *Amorgianos*, 303 F.3d at 265; *see also SR Int’l Bus. Ins. Co. v. World Trade Ctr. Properties, LLC*, 467 F.3d 107, 132 (2d Cir. 2006) (expert found qualified based on decades of experience where expert testified “he was familiar with practices in the industry” and his ability to identify practices within it).

McCown’s methodology reliably led to his conclusion that OOCL acted unreasonably during the relevant time period by employing industry analysis and an understanding of market forces, industry norms, and trends in revenue and net income within the container shipping industry. (McCown Report ¶¶ 90-104; *cf.* Mot. at 8.) McCown further opined as to a reasonable calculation of reparations using (1) BBBY’s actual spend on the spot market to cover OOCL’s shortfalls and (2) BBBY’s spend with OOCL above and beyond what it should have based on OOCL’s imposed PSS and other surcharges (McCown Report Appendix A-1 through B-4 and Attachment A to BBBY’s Supplemental Responses to OOCL’s Interrogatories.) [APP-3359]

As to D&D charges, OOCL incorrectly states that “[McCown] makes a blanket assertion that ‘in all such cases where BBBY was charged, it was not a reasonable or appropriate charge’”, (Mot. at 8 (quoting McCown Report ¶ 147)) but (1) the cited passage speaks instead to specific operational circumstances, (2) none of the information OOCL claims McCown did not identify or evaluate during his deposition, *see* Mot. at 9 n.38, 39, 40, 41, is relevant to McCown’s opinions, and (3) McCown testified that he was aware of the points raised in OOCL’s Motion but simply assigned no value to them, (*e.g.*, McCown Tr. 111:2-5, 226:18-23.) McCown opines based on his industry experience as to the reasonableness of the rates charged by OOCL for D&D and on whether such charges were *reasonable* in light of industry-wide congestion and delays encountered during the relevant time period outside of the control of BBBY. (McCown Report

pp. 28-38.) Accordingly, McCown properly opines on the reasonableness of both (1) the *imposition* of D&D charges, and (2) the *rates charged*.

II. McCown's Opinions Are Relevant to the Finder of Fact.

If evidence has “any tendency to make a fact more or less probable than it would be without the evidence” and “the fact is of consequence”, it is relevant. (Fed. R. Evid. 401.)

McCown's testimony and proffered opinions are formed based on a 40-year career in the container shipping industry as applied to a deep review of the discovery in this proceeding, and are not mere opinions as to OOCL's intent or legal conclusions, as OOCL contends. **First**, OOCL claims that McCown offers mere opinions as to the intent of OOCL, but of the sixteen McCown Report paragraphs challenged by OOCL:

- Ten are supported by citations to deposition transcripts and exhibits. (Mot. at 10 (citing McCown Report ¶¶ 68, 71, 72, 73, 74, 110, 121, 122, 150, and 157).)
- Two relate to chartering out ships and are based on actual data from OOCL's interim and annual reports, not speculation. (*Id.* (citing McCown Report ¶¶ 92, 102 (¶84 states that “OOCL actually *chartered out* some of its ships” citing the Interim and Annual Reports.).)
- Four discuss analytical data and facts, reflecting McCown's understanding of carrier obligations under service contracts. (*Id.* (citing McCown Report ¶¶ 108, 119, 178, 179.)

Second, OOCL's citations as to purported legal conclusions actually relate either to *factual statements* tied to references to FMC reports, decisions, and other documents, without drawing legal conclusions, (Mot. at 10 (citing McCown Report ¶¶ 37, 38, 39, 40, 155, 156, 173, 174), or to McCown's opinions on shipping practices. (*Id.* (citing McCown Report ¶147.).) OOCL's point has no merit, as McCown opines as to whether the conduct of OOCL, as demonstrated through record evidence, is reasonable within the industry in which he has worked for 40 years.

CONCLUSION

For the foregoing reasons, BBY respectfully requests that the Presiding Officer deny OOCL's Motion to Exclude the Expert Report and Testimony of John D. McCown.

Dated: March 20, 2025

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Certificate of Service

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